**19** Companies S and T are both being considered as potential suppliers by Company P, a major manufacturing company. Company P wishes to award a contract to a single company to provide it with packaging materials for at least the next 5 years.

Company P wishes to evaluate both companies' financial risks. Company P will rely heavily on the winning company and so it will be costly if that company fails.

Company S owns its factory. Company T rents a factory from a third party, paying annual rent of $7 million. Company T owns no property.

(i) Using the financial statements for Companies S and T, calculate the following ratios for Companies S and T:

- Asset gearing ratio
- Interest cover
- Current ratio, excluding the tax liability from the calculation.

[6]

(ii) Evaluate the financial risks faced by both companies and identify, with reasons, the company facing the lower risk. [10]

(iii) Recommend, with reasons, whether or not the current ratios of the two companies should include the tax liability. [4]

[Total 20]

**Statements of profit and loss**
**For the year ended 31 March 2026**

| | *Company S* | *Company T* |
|---|---|---|
| | *$ million* | *$ million* |
| Revenue | 120 | 98 |
| Cost of sales | (45) | (43) |
| Gross profit | 75 | 55 |
| Distribution costs | (11) | (10) |
| Administrative expenses | (12) | (11) |
| Operating profit | 52 | 34 |
| Finance costs | (9) | (3) |
| Profit before tax | 43 | 31 |
| Income tax expense | (10) | (6) |
| Profit for the year | 33 | 25 |

**Statements of financial position**
**as at 31 March 2026**

| | *Company S* | *Company T* |
|---|---|---|
| | *$ million* | *$ million* |
| **Non-current assets** | | |
| Property, plant and equipment | 225 | 128 |
| **Current assets** | | |
| Inventory | 5 | 9 |
| Trade receivables | 11 | 5 |
| Bank | 4 | 2 |
| | 20 | 16 |
| **Total assets** | 245 | 144 |
| **EQUITY AND LIABILITIES** | | |
| **Equity** | | |
| Ordinary share capital | 90 | 55 |
| 10% preference share capital | 70 | – |
| Retained earnings | 27 | 18 |
| **Total equity** | 187 | 73 |
| **Non-current liabilities** | | |
| 5% loans (repayable 2036) | 40 | 60 |
| **Current liabilities** | | |
| Trade payables | 8 | 5 |
| Tax (payable December 2026) | 10 | 6 |
| | 18 | 11 |
| **Total of equity and liabilities** | 245 | 144 |